

QUOTE TO CASH AUDIT PROGRAM #52-00-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

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DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
December 2025	Table of Content	Table of Content	Dana Wendlova	Removed incorrect references to page 2 in table of content.
	Planning	Reference Material		Updated and added links.
March 2025	Planning Audit Program Risk Alignment	Services: Billing	Erin Wood	Removed "and Purchase Order Management" from Services Billing RAE to align with other RAEs.
	Planning Fraud Template	Fraud Template		Removed indicator of canceled not returned items as Q2C would not be visibility to this.
	Key Controls Section 1: Contract/ Order Management	Approach		Removed determining who has ability to change non-standard terms and conditions as this is not Q2C and is captured in CRM and a process is in place to ensure invoice accuracy across the various brands.
	Key Control Question: 2. Backlog Management	Approach		Removed Shipped not installed (SNI) report bullets as Q2C does not utilize or have visibility.
	Key Control Question: 3. Virtual Inventory Management - Business Partners (BPs)	All Sections and Tests (IM001P and IM002.S)		Removed tests and sections related to Business Partners as the process and controls are the same and they should be tested the same. IM001.P No longer relevant as virtual inventory is not applicable in Business Partner Ecosystem space and Q2C would not have visibility. Business Partner transactions and Billings fall under same processes and controls and are no longer treated separately.
	Key Control Question: 4. Billing	Business Partner Billing - SAP or Non-SAP (BI001.P)		Removed BP specific test as no longer relevant as billing process is the same and not specific to BPs. Should be tested the same regardless if a BP or not.

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DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
March 2024			Erin Wood	Removed items that were the brand responsibility and are also in CRM audit program and are not Q2C responsibility.
	Contract / Order Management - SAP and Non-SAP (CM001.P)	Approach		Removed to validate that contracts contain only standard terms and conditions, to check that a process is in place to identify side letters, and process is in place to identify contract renewals.
		Business Partner Engagements		Removed validating extension legal approvals were received, and Transaction Agreement test.
	Contract / Order Management Pricing - SAP or Non-SAP (CM003.P)	General Considerations		Removed validate pricing was within delegation test as well as test on UPC and side letters as it is mentioned in Fraud section.
	Billing - Ship / Bill / Invoice Reconciliation - SAP or Non-SAP (BI002.P)	General Considerations		Removed pended billing test as it is in CRM.
	BP Inventory Adjustments / Returns - SAP or Non-SAP (IM001.P)	Objective		Added to test this section only when the universe contains a high volume of business partner transactions.
	Process and Objective	Scope Area		Added Data Privacy as a scope area if applicable and the ATL has confirmed PI is applicable to process from a controller or processor perspective.

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DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
October 2023	Planning Data Analytics & Key Control Question 1 CM007.6	Point 1 & 3 Approach	Erin Wood	Updated as part of annual revalidation. Removed all references to SWAP reports as they have been replaced with SCRT.
	Key Control Question 1 CM006.S	Note		
	Key Control Question 5 ME001.P	Approach		Added that although APAC does not have, Japan does Added that Q2C may not have visibility to surveys
	Key Control Question 1 CM001.P	During business partner engagements		Noted that approvals are responsibly of opportunity owner
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purposes of this audit program, fulfillment is defined as the process of fulfilling customers' expectations in an ethical, well controlled, and most cost-effective manner. It starts when a contract signed by both IBM and customer is received by the fulfillment organization and ends when collections are completed. The process includes:

- Contract management
- Order management (n/a Services)
- Backlog management (n/a Services)
- Order release (n/a Services)
- Inventory management (n/a Services & HW LA)
- Delivery initiation (n/a Services)
- Returns administration (n/a Services)
- Billing and invoicing
- Accounts receivable
- Credit notes and write-offs
- Revenue recognition support and reporting
- Separation of duties
- Data Privacy (If applicable, only consider adding to testing after confirmation in discussions that the unit is a controller or is the processor of PI)

NOTE: The end-to-end fulfillment process includes Accounts Receivable (A/R); however, A/R should be audited separately using the full A/R audit program (52-40-00).

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PLANNING: Audit Program Risk Alignment

Hardware Quote to Cash

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Firm Order	High	Contract / Order Management	CM002.P, CM003.P, CM004.P, CM006.P
Revenue Recognition	High	Contract / Order Management	CM005.P
Backlog and Inventory Management	High	Contract / Order Management Backlog Management Inventory Management - Business Partners	CM007.S BM001.P IM001.P, IM002.S
Billing	Medium	Contract / Order Management Billing	CM04.P BI002.P
Billing Adjustments	Medium	Billing Business Practices	BI003.P, BI004.S BP001.S
Measurements	Medium	Billing Measurements	BI004.S ME001.P
Separation of Duties Management	Low	Separation of Duties	SD001.P, SD002.P
Business Continuity	Low	Business Continuity	BC001.S

Services Quote to Cash

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Firm Order	High	Contract / Order Management	CM001.P, CM003.P, CM004.P, CE001.P
Revenue Recognition	High	Contract / Order Management	CM004.P
Billing	High	Billing	BI002.P, BI003.P, BI004.S
Contract Registration and Changes	Medium	Contract / Order Management	CM003.P, CM004.P, CE001.P
Billing Adjustments	Medium	Business Practices	BP001.S
Business Continuity Plan	Low	Business Continuity Planning	BC001.S
Contract Closure	Low	Contract / Order Management	CM001.P

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PLANNING: Audit Program Risk Alignment (Continued)

Software Quote to Cash

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Firm Order	High	Contract / Order Management Credit Evaluation	CM002.P, CM003.P, CM004.P, CM006.P CE001.P
Revenue Recognition	High	Contract / Order Management	CM005.P
Billing	High	Contract / Order Management Billing	CM04.P, CM008.S, BI002.P
Credit Adjustments	Medium	Billing Business Practices	BI003.P BP001.S
Contract Reconciliation / Expiration	Medium	Billing Contract / Order Management	BI002.P CM002.P
Measurement	Medium	Billing Measurements	BI004.S ME001P
Separation of Duties Management	Low	Separation of Duties	SD001.P
Business Continuity Planning	Low	Business Continuity Planning	BC001.S

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
SNI Report and/or SHW IBI (Installed by IBM) Warranty Trigger Date Analysis Report, where applicable.	Inventory installation	Install did not pass warranty auto start logic	Loss of or delayed revenue
Enterprise Software (ESW) shipments	Total amount of shipments	FOE control exposures	Loss of or delayed revenue
Distributed Software (DSW) shipments,	Total amount of shipments	FOE control exposures	Loss of or delayed revenue
Legacy SW shipments	Total amount of shipments	FOE control exposures	Loss of or delayed revenue
Software as a Service (SaaS)	Total amount of SaaS orders	FOE control exposures	Loss of or delayed revenue

DATA ANALYSIS TECHNIQUES AND SAMPLING FOR ALL ENVIRONMENTS:

Primary test areas:

Note: the contract types listed here are not meant to designate all available contract types. Specific types of contracts must be determined from the geography and location being audited and whether auditing software, hardware, or services.

- Special packaged offerings for hardware and software including (but not limited to): Total Solutions Package (TSP), Packaged Solutions Offerings (PSO), Open Infrastructure Offerings (OIO), Solution Delivery Agreements (SDA), Bottom-Line Bids, plus any type of unit-specific bidding.
- Special Software offerings including (but not limited to): software special bids, ESSO –Enterprise Software Special Option, IPAA Addendum –Amendment to Passport SW, IPLA Addendum – Amendment for System z OTC SW, ISLO –IBM Software Letter Option, SSSO –Software and Services Option, any bundled deals, and any deals that include software and related maintenance.

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PLANNING: Data Analysis (Continued)

The auditor should data mine and sample by linking information and indicators as follows:

1. Contracts should be selected from a database of contracts or transactions depending on the audit approach. Other sources should be considered including Ledger extracts from HQ Accounting.
Select customer NAMES/NUMBERS based upon:
 - a. Types of special contracts or transactions (SBU, SUC, FOE, etc.). These are the primary consideration as these are generally the contracts **or** transactions with the highest level of risk.
 - b. Number of contracts (if data available at the contract level).
 - c. Frequency of order cancellations, any equipment shipped-not-installed on a timely basis, any administrative installations, the frequency of Letters of Intent (LOI) or Branch Initiated Orders (BIO), and the number of emergency-shipped equipment at quarter-ends.
 - d. Frequency of special contracts.
 - e. Frequency of complaints, disputes, concessions, claims, credit notes, and write-offs.
 - f. High amounts of overdue accounts receivable.
2. Select customer REVENUE based upon:
 - a. High valued contracts or transactions.
 - b. Low or negative profit bids (If information available) Note: for HW, this should be available from GHD.
 - c. Different types of revenue within the bid - hardware, software, maintenance, OEM, etc.
 - d. Contracts with unique terms and conditions.
 - e. Quarter-end revenue amounts.
3. Select customer TIMING based upon:
 - a. Quarter-end contract signatures
 - b. Key cut-off dates (billing, revenue, commissions, etc.)
 - c. Equipment either returned or un-installed the month after the month of shipment.

Once samples have been established and information requested, auditing can be based upon the 'progressive testing technique' of each complete contract or transaction. Should, for example, 15 of 25 high risk contracts (as defined by sampling) provide little evidence of control weaknesses, testing can be truncated. This must be agreed to by the area audit manager prior to testing and it is recommended that the 'progressive testing' be detailed and agreed to by the audit client.

If primary testing signals control weaknesses, secondary testing should be initiated, depending upon the type of weakness identified and the frequency of the secondary area universes. For example:

- Test SCRT Reports to find unlicensed usage and CPU changes which require actions
- Test BUSINESS PRACTICES if you identify potential customer dissatisfaction, inaccurate or delayed billing, undue discounting, lack of pricing approval or justification, etc. Data mining in this area should include:
 - Number of credit notes and write-offs for a customer
 - Large value credits
 - Excessive delays between original invoice and credit
 - If reason codes used for credit, select those classified as miscellaneous, unauthorized commitments, product failures, and other non-specific codes
 - Credits issued in first month following a quarter-end
 - Duplicate amounts

For Datamining for Accounts Receivable, see the A/R audit program 52-40-00.

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PLANNING: Reference Material

REFERENCES THAT ARE APPLICABLE TO ALL GEOGRAPHIES

Corporate Directives <http://w3.ibm.com/ibm/documents/corpdir/>

- Organization Manual
- Corporate Policies
- Corporate Instructions
- Corporate Instructions
 - CIO 162 - Financially Significant and Other Enterprise Applications
 - FIN 182 - Management Self Assessment of Control
 - FIN 172 IBM - Units Engaged in Federal Government Contracts/Grants
- Corporate Organization Letters
- 109B - Delegation of Authority - Pricing of Products and Services
- 125U - Delegation of Authority - Terms and Conditions of Contracts for Products and Services
- General Guidelines

Sarbanes-Oxley 404 Financial Reporting Controls

Refer to planning section document for Sarbanes-Oxley 404 Compliance Requirements

<https://w3.ibm.com/w3publisher/financebc/key-controls-testing>

Key Controls and Guidelines

<https://w3.ibm.com/w3publisher/financebc/program-guidance>

Accounting Practices and Instructions

<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-practices-interpretations>

Global Risk Management Group (GRMG) Directives

Link to IGF Credit Directives

<https://w3.ibm.com/w3publisher/ibm-credit-organization>

CI ET 127 Business Continuity Management

<https://w3.ibm.com/ibm/corporate-documents/et/et-127>

Related Audit Program

- Accounts Receivable (52-40-00)

Useful Intranet Sites

- Audit Client's local site process documentation, if applicable
- Applicable Control Risk Analyses (CRA)
- Audit Business Process Information - <https://w3.ibm.com/w3publisher/corporate-assurance-and-advisory-service/audit-engagement-procedures>
- Corporate Organization Letters - <https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-organization-letters>
- IBM IT Security Standard (ITSS) - <https://pages.github.ibm.com/ciso-psg/main/standards/itss.html>
- IBM Export Regulations Web page (for US Export Regulations Procedures - USERP): <https://w3.ibm.com/w3publisher/ibm-export-regulation-office/export-network-contacts/export-procedures-and-related-links>

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PLANNING: Reference Material (Continued)

General Data Protection Regulation (GDPR)

- GDPR Readiness Community
<https://w3.ibm.com/ibm/privacy/gdpr>

Compliance, Audit, Risk Mitigation and Management

<https://w3.ibm.com/ibm/privacy/knowledge-base>

Firm Order Policy: <https://w3.ibm.com/w3publisher/firm-order-policy>

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Credit granted based on incomplete or fraudulent documentation or management approval of credit when evaluation determined credit should not be granted.	Firm Order Policy (FOP) validations. Credit checks performed at order submission. Process was automated using iERP.	Review credit checks performed by IGF, approved credit limits, and any management approval of credit outside of the required process through IGF. Determine customer's credit worthiness prior to product shipment and valid approval for shipment of products
Orders shipped with incomplete specifications and documentation	Firm Order Policy (FOP) Controls	Review order details against contract terms and confirm that all elements of FOP were satisfied, or a valid approval was obtained.
Orders shipped for dummy customer numbers or addresses that have been over-written to unauthorized locations	Management review of ship-to-override reports.	Review process and control reports for ship-to-overrides.
Orders shipped with billing blocked in SAP or unbilled in legacy systems. Revenue recognized outside of contract terms and conditions and pending billing.	Management or their delegate's review of the blocked/pending billing report and/or the shipped but unbilled report (SBU) and the associated controls.	Sample items from these reports and determine root cause for billing delays beyond the time of shipment. If revenue was recognized at the time of shipment, determine the validity of revenue recognition.
Side-letters to existing contracts which modify agreed terms and conditions (in contract files or customer correspondence files) and/or result in unjustified credits to customers, frequent customer claims, or complaints.	FOP validation, management approval of adjustments and sales concessions	Examine criteria and justifications for adjustments and sales concessions. Review aged receivables and billing disputes for root causes and determine management oversight.

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PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Returns in excess of contract requirements.	Customer contracts are verified by Q2C and verified via normal management.	Review activity on control reports and credit adjustments and criteria submitted for approval and determine if credits issued were in excess of the contract terms for returns.
Conflicting system access capabilities or conflicting duties within job responsibilities with the absence of activity reports for management review.	Separation of Duties (SOD) and secondary controls that mitigate these risks. Management inspection of activities with known conflicts and monitoring of systems and application accesses.	Understand SOD controls and determine the effectiveness of management oversight and existing controls. Determine if excess access or job role conflicts resulted in any fraudulent or inappropriate activities.
Write-offs due to non-receipt or loss of products; credits issued for equipment returns without receipt confirmation from the receiving location	Management approval of sales concessions, small balance write-offs, and credit adjustments as well as management review of the delinquent machine returns reports (DMR).	Review DMR and examined for products with notations indicating product lost or not received at plant and request returned shipping information from carrier. Determine liability for lost and validity of approval for any adjustments or credits issued. If liability for lost resides with carrier confirm recovery of cost.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Objective:

To confirm that orders submitted by IBM customers and business partners were complete, valid, and in compliance with the contract under which the order had been placed; that contract terms and conditions are valid, approved, and respected; and that revenue was properly recognized in accordance with IBM guidelines and generally accepted accounting principles.

For audit in the SAP environment, to confirm that control points as defined by the Worldwide Fulfillment organization have been incorporated into the local process. Also, to ensure that procedures have been implemented to control customer master record override and dummy customer numbers.

Are customer credit terms and conditions being strictly adhered to by the marketing organizations?

To determine if significant bad-debt write-offs or excessive sales concession write-offs occurred, and if so, was the root-cause insufficient enforcement of customer credit approval policies, incorrect pricing or inaccurate billing; if customer credit terms and conditions are strictly adhered to by the marketing organization.

To determine if there are any exceptions to IBM's business conduct guidelines and/or marketing practices?

Risk/Exposure:

Incorrect or incomplete orders accepted by IBM could result in incorrect shipments of hardware, incorrect downloading of software, inaccurate pricing, noncompliance with contract terms and conditions, and collection issues. The consequence of any or all of these factors could lead to increased cost and financial liability (i.e., bad debt write-offs) to IBM, and dissatisfied customers and business partners. Not complying with established credit terms or business conduct guidelines, either by omission or design, could also increase liabilities. Additionally, firm order controls/revenue recognition requirements could be compromised if inaccurate orders were shipped.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Contract / Order Management - SAP and Non-SAP (CM001.P)

Note: This test should also be used for verifying Business Partner contractual relationships during a fulfillment audit. For SAP Audits, this test should be used in conjunction with CM003.P for the full range of Contract and Order Management considerations.

Objective:

Verify that the contractual relationship between IBM and the customer has been accurately recorded and maintained during the contract period; that systems reflect the correct contract status; that terms and conditions are valid, approved, and respected; that billable records associated with the contract have been generated according to contract terms and on a timely and accurate basis; and that contract alterations or cancellations are based on authorized supporting documentation. (In some instances, the customer may be an approved IBM business partner).

Approach:

General

- Review any documents of understanding (DOUs) or service level agreements (SLAs) that may exist between the marketing channel and the customer support team responsible for fulfillment.
- Ensure full understanding of local procedures for contract/order management including renewal and termination and adhering to firm order policies.
- Request process documentation which should include details of risks identified in the process, controls points established to mitigate those risks, and an indication of how those controls are monitored by management. Conduct reviews with management and confirm process risks.
- Determine what financial reporting controls have been identified, documented, evaluated, and tested for the Sarbanes-Oxley 404 compliance.
- Identify all the contract offerings and associated risks for the products being reviewed, i.e., types of software agreements / offerings, type of HW contracts, types of combined special offerings (Examples include: Total Solution Package (TSP), Package Solutions (PSO), Open Infrastructure Offering (OIO), special bids, etc.)

NOTE: For contracts with bottom-line pricing, all deliverables should be clearly identifiable in the contract. The auditor should confirm that the identified deliverables were ordered, delivered, and billed. Also, where deliverables are from multiple sources and contracts are being fulfilled by multiple brands/divisions/organizations, a copy of the approved detailed pricing/costing model may be helpful in understanding the big picture. Reconciliations should be performed of system generated billings to manual billings prepared for the customer. A review should also be performed to determine if there are any over-payments on the contract. Where internal billings are generated at an internal transfer price and the customer is billed at the agreed selling price, the auditor should understand how the difference on the customer's A/R account is resolved. Over-billed amounts should not be used to fund items not included in the contract.

Identify contract types registered and managed in SAP and those outside SAP.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Contract / Order Management - SAP and Non-SAP (CM001.P)

(Continued)

Audits in an SAP Environment

Completed and validated contracts are received from sales and contract details are entered into SAP by Fulfillment (FF). SAP saves the agreement as an accepted (registered) contract, assigning a contract number.

Contracts can be altered or canceled by FF based on amendments and customer request. HW orders might also be altered for supply issues with BP/Customer acceptance. Changes can include adding products, canceling products, changing customer information, changing discount structure, etc. Changes are updated in SAP and are then used for future order or contract activity.

- Ensure that contract create, change and cancellation activities are accurately reflected in SAP and supported by approved source documentation.
- For SAP Audits, specific Order Management considerations and attributes are in test CM003.P which should be used in conjunction with this test.

Contract/Order Samples

Select a risk-based sample of contracts or high-risk transactions, focusing on new contracts or transactions established during the audit period, renewed contracts, quarter-end and year-end activity, high-dollar transactions, and special contracts or offerings. Consider using extracts from a database of contracts. Request the relevant contract and the associated invoices. One "main sample" may be selected and used for contract management, firm order management, billing, and accounts receivable. However, the audit team and the audit manager should discuss the relevance of this approach, after agreeing on the risks in the process. For SAP Audits, specific Order Management considerations and attributes are in test CM003.P which should be used in conjunction with this test.

During Business Partner Engagements

- Check that valid agreements are in place, properly executed and signed, and that any modifications have been appropriately approved. The base contract is the Business Partner Agreement (BPA), the International BPA (IBPA), or Partner Plus Agreement released by Global Contracts and Negotiations (C & N). In addition, auditors should determine what offerings are available to business partners and understand the terms and conditions of those offerings.
- Determine if the process for reviewing and accepting business partner orders has been defined, documented with control points, and followed. Emphasis should be on proper credit review, and on ensuring that orders are for eligible products that fit the terms and conditions of the applicable signed agreement and exhibits.
- Refer to the Business Partner Risk Model (Global BP Web site). Specifically, the Standard BP Process Measurements for Contract Management and Order Processing. Review the sample methodology and measurement results during the audit period, identifying adverse trends and out-of-line situations. Select a sample of agreements for review based on risk factors such as new business partners established during the audit period, partners whose agreements expired and were renewed during the audit period, cancellation, delinquent accounts receivable, recent terminations. The final approach should be agreed with the audit manager based on the risks identified.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Contract / Order Management - SAP and Non-SAP (CM001.P)

(Continued)

- Review the documented Special Bid process as defined by the relevant country's pricing organization including the delegation documentation which defines authorizations and approval clip levels. If a special bid requires reconciliation of activities at the end of the contract period, the audit client should be asked to describe the controls included in the reconciliation procedures. If the reconciliation relies on end user details being provided by the business partner, instead of directly from the end user, determine what secondary controls are included. (For example, verified product quantities or serial numbers are being applied to representative samples as a test.)
- Refer to Business Partner Risk Model (Global BP Web site) Standard Business Partner Process Measurement for Special Bids. Review the sample methodology and measurement results during the audit period, identifying adverse trends and out-of-line situations. Select a sample of special bids for review based on risk factors such as revenue amount, date, business partner, and percent off list or standard BP price. The final approach should be agreed with the audit manager based on risks identified.

For each contract/order sample selected above verify the following attributes, as appropriate:

NOTE: For SAP Audits, specific Order Management considerations and attributes are in test CM003.P which should be used in conjunction with this test.

1. A firm customer order / contract has been received or an exception is in place.
 - a. (firm order = product/quantity/price/ delivery date/location have been identified).
2. Orders based on Letters of Intent or IBM Initiated Orders have the required authorizations.
3. Validate that a credit check was performed by the appropriate organization.
4. Denied Parties List (DPL) checks have been performed and export regulations validated as appropriate, where applicable
5. Contracts terms and conditions are followed, and all contract amendments/modifications are properly executed prior to order fulfillment.
6. Equipment is delivered or services are rendered only after contract signature and acceptance.
7. System installation date is consistent with physical installation.
8. Contract reconciliations are performed as required to ensure accurate billing.
9. For Software offerings, all agreement and contract terms are properly executed and administered to ensure proper billing.
10. For Software offerings, a process is in place that ensures accuracy of the inventory and includes:
 - a. Reviewing the existing inventory for accuracy when the offering is initiated
 - b. Handle virtual inventory changes according to customer requests and proper approvals
 - c. Processing inventory changes as needed so that all inventory changes are completed within 30 days of the start of the offering
11. Were all SW variances documented, contained, and resolved throughout the term of the contract and reviewed by management.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Contract / Order Management - SAP and Non-SAP (CM001.P)

(Continued)

12. All agreements for maintenance offerings are properly executed and administered to ensure proper billing. Examples of maintenance offerings include: ServiceElect and ServiceSuite agreements.
13. Billing is accurately rendered in accordance with terms of the contract including applicable tax treatment.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Order Management - SAP HW and SW (CM002.P)

Note: This test identifies control points unique to SAP and should be used in conjunction with test CM002.P during audits in the SAP environment.

Objective:

To determine if orders submitted by IBM customers and business partners are complete, valid, and in compliance with the contract under which the order had been placed. To also validate if price overrides are properly authorized and reviewed.

Approach:

FF receives orders from the CRM process which must be entered into the SAP FF system either electronically (EDI) or manually by the FF administrator. After orders have been completed and saved within SAP, the system performs a final check to determine if all mandatory data is contained on the order. Examples of mandatory data include customer number, export controls, product data, order date as compared to effective date of contract, contract number, etc. If the system is unable to validate the order, the user will be notified that the order is incomplete. The user must execute an order change to complete the order.

For each order sample selected for review, verify the following attributes, as appropriate:

- All SAP orders processed have been accurately categorized and controlled according to order type. Each order type has defined processing characteristics (billing type, delivery type, reference documents, etc.). Verify that orders placed (categorized by order types for services, consigned inventory, returns, free of charge, etc.) have been properly authorized and processed according to the business process for each order type.
- There are SAP order types defined in the process documentation as "special orders" which includes such order transactions as: demo, free of charge, zero charge sample orders, internal donations, evaluations (SW), etc.
- Appropriate source documentation is required to process order alterations. Confirm that management or designee reviews this activity at least on a monthly basis; ensure appropriate source documentation authorized transaction, that the reason for cancellations are clearly documented, that any problems are resolved.
- There could be circumstances where part numbers in the backlog must be changed. The approved requests for part number substitution will come from either sales or the source of supply (SOS). Verify that management or designee reviews this activity; ensure substitution transactions are processed accurately and confirm that any discrepancies are resolved.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Contract / Order Management Pricing - SAP or Non-SAP (CM003.P)

Note: This test should also be used for verifying Business Partner contractual relationships during a fulfillment audit.

Objective:

Determine if customer and business partner contracts and transactions have an authorized price release consistent with IBM strategy and was documented in accordance with requirements. Verify that the price communicated to the customer or business partner was consistent with the approved price, was offered after approval, and was invoiced to the customer and recorded to IBM's financial statement.

Approach:

To understand management's monitoring and any measurements on the execution of the pricing process and the auditor should identify any control reports used within the process and within the geo. The auditor could also request access as applicable.

Meet with management to understand specifically what the pricing related responsibilities are for the organization being reviewed. If the organization being audited is not delegated for pricing action, then the testing should be limited to their specific responsibilities, as testing through Solution Design and Delivery (SDD) of the business unit should cover other pricing activity. However, elements of this test are applicable in all fulfillment audits and applicable attributes should be incorporated into the testing performed for the sample selected for Contract Order Management test. When not automated in the system attributes to verify:

1. That the concurrence of appropriate levels of management was received prior to offering where price is beyond delegation.
2. That the price included all cost considerations, and was developed in accordance with published methodologies, and with approved pricing tools.
3. That the price was offered and communicated on the appropriate document or agreement.
4. That the price was approved prior to customer acceptance.
5. That independent review of the pricing activity was performed where necessary in cases of conflicting duties.
6. The contract price was sufficiently documented and reflected / transferred into fulfillment systems accurately and timely.
7. That price adjustments, concessions, and revenue credit activities after the offering to the customer and/or after completion of the transaction did not impact the originally committed price and offer in a way inconsistent with pricing delegation.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Contract / Order Management Pricing - SAP or Non-SAP (CM003.P)

(continued)

8. That the terms of any applicable preferred pricing agreements are honored and what communication process is in place between pricing and fulfillment to assure compliance. NOTE: Pricing owns the process for managing those customers with preferred pricing.

Data mining recommendations:

Review concessions, customer credits, revenue reversals, and revenue adjustments against the initial contract, price release and invoice to determine impact on profit and management action. Request HQ special bid, special pricing approval logs and compare against operating units listing to identify universe discrepancies.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Revenue Recognition - SAP or Non-SAP (CM004.P)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if the fulfillment (FF) activities that support proper revenue recognition are in compliance with established IBM procedures, generally accepted accounting principles, and IBM Practices.

Approach:

- Determine if other recent audits have assessed the effectiveness of revenue recognition that would have included the organization being audited. If so, then discuss with the audit manager what, if any, examination of revenue recognition should be performed as part of this engagement. If no recent reviews of revenue recognition have been performed, then determine if the organization has adequate controls over revenue recognition.
- Refer to the Reference Material section of this audit program for applicable accounting instructions and practices.
- In some geographies revenue recognition is the responsibility of the Finance organization. In these situations, the audit team should consult with the Area manager as to the approach to be used for revenue recognition. However, regardless of who has the responsibility, the revenue impact of non-adherence to firm order policy should be called out. In looking at revenue recognition, especially for Services, it may be necessary to consider cost recognition in determining whether appropriate revenue and cost matching occurred.
- It is key that the revenue recognition rules relevant to the transaction being reviewed are understood. See the references section of this document for applicable accounting instructions and practices.
- Perform a process control interview with the appropriate finance management and verify the current revenue recognition methodology for billing and credit notes.
- Review monthly revenue ledger entries for billing and credit notes to confirm methodology and ensure revenue is recorded in accordance with accounting practices.
- The sample of contracts selected for testing at CM002.P CM001.P (Contract/Order Management) may be used as the basis for revenue to be reviewed. Alternatively, a sample of revenue entries from the appropriate revenue accounts in the Ledger, and the related invoices may be selected, whichever is more applicable. If ledger entries or invoices are the basis for the sample, request the associated contracts. Focus on quarter-end, year-end activity, high -dollar transactions, and special contracts (Total Solution Proposals (TSPs), Packaged Solution Offerings (PSOs), Open Infrastructure Offerings (OIOs), special bids, bottom-line contracts, bundled and packaged offerings, etc.).
- Verify that there is a process to report revenue that was not properly recognized to the appropriate HQ Accounting organization and tax organization and that management has visibility to this activity when aware. Determine if there is evidence that root cause analysis is performed and that corrective actions are taken as appropriate if identified by Q2C.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Revenue Recognition - SAP or Non-SAP (CM004.P)

(Continued)

- For build to plan (BTP) products, software and services that cannot be identified by machine type and serial, is there a process to ensure that both cost and revenue are recorded on a timely and controlled basis?
- Verify that the customer has signed a base agreement.

HARDWARE REVENUE:

1. To help determine if revenue was properly recognized at shipment, review reports and identify equipment that has been billed and not shipped. Also, review end of period shipments, accrued revenue (late shipments), and shipped not billed activity. Select a risk-based sample as appropriate. For each item tested, verify shipment to actual shipping documents from the carrier/transporter and track revenue and the related costs to the ledger. (NOTE: Recurring charges for a product begins at the date of installation).
2. Based on available reporting, provide: 1) Installations processed with date prior to Warranty Auto Start (WAS) target date. 2) Validation installation date matches WAS target start date. 3) Installations processed with date after WAS target date. 4) Exceptions to CSU Installation Target Date. For selected samples have documentation to support install date.
3. From the sample(s), determine if hardware order revenue was based on:
 - a. A firm customer order and a signed customer base agreement. A firm order is required for IBM's recognition of financial revenue. Firm order documentation consists of a written customer agreement to the following aspects of an order:
 - i. Product configuration
 - ii. Customer requested arrival date (CRAD)
 - iii. Delivery/install location
 - iv. Price
 - v. No contingencies
 - b. Products were shipped to the customer
 - c. Each component of the deal was valued (i.e., education, upgrades, etc.)
4. Does the reported revenue value take into account the following adjustments as required by IBM accounting practices?
 - a. Sales Returns
 - b. Discounts (cash, trade-in, quantity, volume, employee)
 - c. Allowances made under authorized programs (education, option to purchase, trade-in, special bids)
 - d. Credits to customer where IBM has not fulfilled its contractual obligations
 - e. Rebates or refunds to customers (particularly to dealers)
 - f. Adjustments for billing errors including a provision for any unprocessed billing adjustments. Can the values for any such adjustments be adequately justified?

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Revenue Recognition - SAP or Non-SAP (CM004.P)

(Continued)

5. Guidelines were met for the recognition of revenue when the customer requested DELAYED INSTALLATION (i.e., IBM CE installation later than the second month after shipment). These revenue recognition guidelines are:
 - a. The customer had paid for the product IN FULL
 - b. The customer accepted full responsibility for the storage of the equipment
 - c. The appropriate director of accounting approved the transaction
6. Guidelines were met for recognition of revenue when the customer requested DELAYED SHIPMENT from the consolidation center. These guidelines are:
 - a. Criteria as listed in #6 a-d above
 - b. Goods were complete and on-hand (at the IBM consolidation facility)
 - c. Goods were identified and reserved for the customer
 - d. Goods were ready for customer shipment

SOFTWARE REVENUE

1. To help determine if revenue was properly recognized:
 - a. Review reports and identify software that has been billed and not shipped. Also, review end of period shipments, accrued revenue (late shipments), shipped not billed and software evaluations paying attention to the end date of the testing period. Select a risk-based sample as appropriate.
 - b. Verify that software evaluations did NOT generate revenue. (i.e., Evaluations were not billed to the customer and the billing was properly pended at shipment to prevent accounting from taking the revenue).
 - c. Verify that software applications known as Software as a Service (SaaS) are billed and revenue is recorded correctly. Select a risk-based sample, as appropriate.
2. From the sample(s) determine if software order revenue recognition was based upon:
 - a. A firm customer order and a base agreement exist.
 - b. Delivery to the end-user customer (or remarketer) has occurred. (NOTE: Delivery has not occurred if un-delivered elements are essential to functionality of delivered elements. The revenue must be deferred until all essential elements are delivered).
 - c. No significant obligations remain
 - d. Fee fixed or determinable (not cancelable or based on number of units distributed or copied). Note: If not fixed and determinable, recognize as amounts become due.
 - e. Collection is probable (NOTE: Collectability is not considered probable if fee allocated to delivered elements is subject to forfeiture, refund, or other concessions.)
 - f. Each element/component of the deal is valued
 - g. Billing was not released during published test or ship allowances unless authorized in writing by the customer.
 - h. If software monthly license charge (MLC) included in a packaged offering, was revenue recognized ratably
3. For multiple elements offerings, including software:
 - a. Revenue must be allocated to various elements based on fair value
 - b. If future deliverables are included, then all or a portion of revenue will be deferred until the elements are delivered.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Revenue Recognition - SAP or Non-SAP (CM004.P)

(Continued)

4. Revenue recognition for subscriptions:
 - a. No allocation to be made to any of the products
 - b. Revenue should be recognized ratable over the term
5. Guidelines were met for the recognition of revenue when the customer requested DELAYED INSTALLATION (i.e., IBM installation later than the second month after shipment). These revenue recognition guidelines are:
 - a. The customer had paid for the product IN FULL
 - b. An agreement existed for the transfer of title
 - c. The customer accepted full responsibility for the storage of the product
 - d. The appropriate director of accounting approved the transaction.

SERVICES REVENUE

Refer to Key Accounting Guidance Documents and Process Documents in the References Section

1. From the sample(s) determine if services revenue recognition was based upon:
 - a. A signed base agreement
 - b. Evidence that services were rendered, (except in the case of a maintenance contract)
 - c. Collection is reasonably assured
2. Obtain copies of ledger schedules to confirm proper accounts were used. For services other than CE services and maintenance, accounts should be unique to the contract.
3. Verify that revenue is properly recorded according to the contract terms and complies with specific accounting methodologies (e.g., time and material, percentage of completion for bottom line bids), as stated in published practices and guidelines.
4. That the contract is set up correctly to enable that cost of services is recorded accurately with related revenue
5. Verify that for maintenance, effective dates of inventory additions, changes, and deletions were supported by documented customer authorizations.
6. Verify that a termination process was implemented to ensure that documentation is obtained and that contract accounts are closed timely upon completion or termination of the contract.
7. Verify that a change control process is in place to ensure that revenue (and cost) changes were recorded promptly and accurately.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Primary Test: Accounts Receivable - SAP or Non-SAP (CM005.P)

Note: This test is also applicable for reviewing business partner receivables as part of a fulfillment audit.

Objective:

To determine if invoices resulting from selected orders and contracts are valid and collected in a timely manner and that risks due to bad-debt write-offs are minimized.

NOTES:

- The end-to-end fulfillment process includes Accounts Receivable (A/R); however, A/R should be audited separately in all environments the full A/R audit program (52-40-00).

Additional tests might be appropriate based on specific contract features identified in the initial reviews, i.e.:

- timeliness, accuracy, and use of credits from selected special offerings
- recalculation and generation of required credits or debits as appropriate

Approach:

For each of the selected contracts or orders determine if:

1. Payments were received by the due date and that delays were followed up promptly.
2. Customer disputes for non-payment were investigated and escalated to appropriate levels of management for timely resolution.
3. Bad-debts write-offs did not result from contract issues or from insufficient or inappropriate credit-check activity.

During Business Partner Engagements

Where Business Partner receivables are not collected through IGF, request the accounts receivable collection process documentation and the most recent measurements trends and results. Refer to the BP Risk Model (Global BP website) Standard Business Partner Process Measurement for (Accounts Receivable). If the measurement is performed, review the method of sample selection, the results of the most recent measurements, and validate any findings. If the measurement has not been performed, select a risk-based sample of unpaid invoices, and consider following the steps set out in the measurement standard.

Where Business Partner receivables are collected through IGF, follow the transaction through the IGF collection process, to confirm that the agreed payment schedule has been followed.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Secondary Test: Special Contracts - Trade-In/Buy-Back - SAP or Non-SAP (CM006.S)

Note: This Section does not apply to LA & APAC. Does apply to Japan.

Objective:

To determine if trade-in and buy-back offerings are correctly administered in compliance with IBM and local procedures.

Approach:

Review local procedures for trade-in and buy-back offerings, and determine the specific conditions set out by Pricing for the programs offered during the audit period.

Items below were verified and acted upon on trade-in and buy-back scenarios:

- The machine is collected on time and returned to IBM.
- The customer invoice reflects the terms of the offering including applicable tax treatment.
- The payment or credit to the customer account is authorized and processed only after the actual return of the machine to IBM and no invoice netting (Hardware purchase invoice netted with trade-in amount) has been performed.
- Fair value of the equipment is included in the agreement with the customer to ensure proper taxation for the customer (Canada customers only).

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Contract / Order Management

Secondary Test: Software Inventory Controls - SAP or Non-SAP (CM007.S)

Note: Consideration should be given to treating this test as primary when the engagement is software fulfillment. This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if software inventory reconciliations are performed and if inventory updates are performed as required to ensure compliance with system control program (SCP) software licensing requirements.

Approach:

The use of this test is dependent on the type of contract under review. The auditor should understand the contractual requirements regarding the purchase of all software and of hardware without the associated system control program (SCP) and software upgrades.

Request process documentation with control points for ensuring that all software licensing requirements are met for each hardware system shipped. Consider the following when reviewing this area:

- Utilize the Subcapacity Reporting (SCRT) reports to identify equipment to identify unlicensed usage if applicable. Determine if an action has been initiated with Techline or Sales to get it solved.
- Where applicable, do hardware upgrades have the corresponding software upgrade orders?
- Where software is supplied with free of charge evaluation periods, have all the qualifying criteria been met?
- Have any waived or deferred payments been approved?

During a business partner review, consider also:

- What are the different types of licensing options made available to reselling business partners, and how can IBM confirm that one of them has been administered for each system shipped?
- Annual software agreements are designed primarily for end-user and not for business partners acting in the role of resellers. Are end-user software records maintained separately where necessary in order to prevent inappropriate commingling of end-user and business software inventories?

Data mining should focus on high value products for excessive mismatch periods. Verify cause of mismatch, e.g., hardware upgrade was installed without software upgrade. Investigate bid contents, contract pricing, and commission implications.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Backlog Management

Objective:

Determine if controls over the backlog management process ensure that customers' requirements are fulfilled while simultaneously protecting and making efficient use of IBM assets.

Risk/Exposure:

Inadequate backlog management could result in incorrect hardware shipments or software downloads, inaccurate pricing, non-compliance with contract terms and conditions, inaccurate commission payments, and collection issues. The consequence of any or all of these factors could lead to increased cost and financial liability (i.e., bad debt write-offs) to IBM, and dissatisfied customers and business partners. Not complying to established business conduct guidelines, either by omission or design, could also increase liabilities.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Backlog Management

Primary Test: Backlog Management - SAP or Non-SAP (BM001.P)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

Determine if controls over the backlog management process ensure that customers' requirements are fulfilled, and IBM assets are efficiently and effectively administered.

Approach:

- Understand how the backlog management process works and specifically what management and administrative reports are generated to manage backlog activity.
- Review measurement trends for backlog related activities and determine if further review is required. These measurements include, but are not limited to, the following:
 - canceled after shipment,
 - uninstalled products, and
 - shipped and unbilled.
- Depending on measurement trends, obtain the following universe information, data-mine the information based upon high valued products, excessive delays in follow-up, and quarter-end situations and perform testing on the following and other activity as appropriate for the environment:
 - Equipment shipped-not-installed is followed-up; (Finance/brand activity)
 - Shipped-but-unbilled (SBU) is tracked and followed-up;
 - Order cancellations after shipment are investigated and documented;
 - Billed not installed (BNI) equipment is supported by firm order and customer agreement to assume risk of loss has been documented (See accounting practice APREV);
 - Administrative installations are in accordance with procedures
 - Letters Of Intent (LOI) are managed effectively and in accordance with procedures?
 - End-of-Quarter emergency shipments are appropriate and justified? (not applicable for EMEA and AG) - investigate customer actual requirements, physical installation / operation date, and related commission payments.
- Customer and Business Partner order documentation should reference where equipment is to be delivered. A confirmation from BP or customer is required when delivered to an address that is different from where the responsibility for risk of loss resides.
- Determine if delinquent machine returns are tracked. Review trends and determine if Distribution is notified immediately when equipment is cancelled by the customer or IBM to ensure that the plant receives products in a timely manner. Reports of outstanding machines can be reviewed to ensure that the age date does not exceed 30 days.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Objective:

To determine if controls were in place to ensure complete, timely, and accurate processing of all billing transactions.

- Did controls include key measurements that gave management visibility to the quality and timeliness of all phases of the billing process?
- Did controls ensure the accurate processing of transactions to be billed, and can all transactions submitted for billing be tracked back to valid orders processed via management approved order entry systems?
- Are exception transactions like customer claims, credit notes, and adjustments (revenue reversals including sales concessions) for customers reasonable, processed accurately, promptly, and properly approved by management? This should include adjustments or claims for customers classified as political parties, government, quasi-government, etc.

Risk/Exposure:

The absence of complete controls creates an exposure to omitted billings which could impact IBM's cash flow and the accuracy of the financial statements. These controls also alert management to the possibility of file tampering. Unacceptable or deteriorating billing timeliness or accuracy adversely impacts IBM's image, cash flow, results in increased administrative costs, and adversely impacts the financial statements. Delayed and inaccurate billing directly affects IBM's cash flow, increases administrative costs, and adversely impacts the accounts receivable process, the integrity of financial statements, the corporation's image in the marketplace, and customer satisfaction. Adequate measurements and reporting facilitate management's monitoring and timely reaction to these situations.

Credits and adjustments are a sensitive phase of the billing process, and if not properly controlled, could impact compliance with IBM's management and business practice guidelines, create exposures to irregularities, impact processing efficiencies and cost, and negatively impact customer satisfaction.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Primary Test: Billing - Ship / Bill / Invoice Reconciliation - SAP or Non-SAP (BI002.P)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if billing and invoice records exist for every shipment or services transaction processed.

Approach:

General Considerations

- To ensure complete understanding of all aspects of the billing process, consider flow-charting the complete billing process and documenting needed and existing control points.
- Review local process documentation and process flows. Determine if documents of understanding are required and executed correctly.
- Review peer audit / self-assessments for identified exposures and the effectiveness of action plans implemented to correct them.
- Review all shipped-not-billed and installed-not-billed reports for the audit period. If there are negative trends, select a sample of aged high-value transactions and validate the reason for not being billed. This attribute can be combined with review of control reports in the Backlog Management test.
- Determine the level of manual billing and obtain the universe of manual transactions. The auditor should determine if a risk-based sample is to be selected.
- If the entity applies cancellation charges, ensure there is a process to ensure they are applied consistently.
- Determine what controls are in place to ensure proper invoicing of partial shipments.
- Ensure that the entity has a viable approach for applying taxes for orders with multiple ship-to addresses.
- Validate that the ship to location and the install location are the same. If not, ensure a process exists to ensure the correct VAT/GST/sales tax is applied to the billing. Look for situations where the shipment is made to a centrally located customer site and subsequently installed at a different location.

Controls Specific to SAP

- In SAP, orders can be blocked from billing and blocked credit and debit requests (adjustments) can also be blocked. Determine if all blocked billing and adjustments are identified; ensure appropriate source documentation authorized transaction; ensure that the reason for being blocked is justified; or ensure transactions are unblocked and billing or adjustments are released.
- In SAP, pre-invoices can be created, and when this occurs, revenue is deferred. Upon shipment, actual billing is triggered, zeroes out the deferred revenue and create the actual revenue recognition record. The auditor must ensure that the deferred revenue record is canceled, and revenue is not duplicated (i.e., deferred and real).

Contract/Invoice Sample

- For contracts and / or invoices, use the main sample defined in the Contract / Order Management test.
- Ensure that all elements of the contract have been billed.
- Ensure that transactions submitted for billing can be tracked back to valid orders with correct and authorized prices.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Primary Test: Billing - Ship / Bill / Invoice Reconciliation - SAP or Non-SAP (BI002.P)

(Continued)

Ship/Bill/Invoice Reconciliation

- Obtain a list that compares items billed but not received. In addition, obtain a list that compares items received, but not billed. For each listing, verify that there is a billing record for every shipment, software download or services transaction. Review exceptions or select a judgmental sample, with a dollar limit to be determined by the auditor, and determine if exceptions are resolved, processed, and billed.
- Obtain a list of shipments for a period to be defined by the auditor; use data mining and determine if there is a billing record for all shipments. The auditor should define value and / or products to be reviewed. Based on the number and value of exceptions, decide if all or a sample of the exceptions will be validated.
- Determine if records can be suspended or held intentionally or unintentionally within the billing application, and how this situation is known and resolved. Determine if this has happened and if any "write-offs" of unresolved transactions have occurred.
- Determine if management had visibility to all unbilled transactions, if root-cause analysis was performed, and if corrective actions were taken to ensure completeness of all billing transactions.

Review process flow and Local Process Documents (LPD) or Common Control Process Documents (CCPD). Determine if documents of understanding (DOU) are required and executed correctly. Determine if systems have been Application Systems Control Audibility (ASCA) certified.

Review reconciliation controls, reports to management of un-reconciled items, and shipment and installation files to ensure complete receipt of billing. Ensure all adjustments and miscellaneous billing are justified and have supporting documentation.

Identify employees with system access and their authority and review all manual processing.

Review peer audits/self-assessments for identified exposures and the effectiveness of the action plans implemented to correct them.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Primary Test: Billing Adjustment/Exception Processing - SAP or Non-SAP (BI003.P)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if exception transactions, adjustments (credits and debits), and price overrides are appropriate, processed accurately and in a timely manner, that they include supporting documentation, are approved by management, are reviewed for root-cause analysis, and have corrective action plans that are implemented and monitored.

Approach:

- Determine if exception processing authorization levels have been established.
- Obtain a listing of adjustment transactions (credits and debits). Select a judgmental sample based on transaction types and dollar values to be determined by the auditor.
- Determine if all transactions are supported by customer authorization, documentation, approved by management as required, and processed accurately and in a timely manner. Ensure all adjustments and unique charges are justified and have supporting documentation. NOTE: For further details on credit notes, see the Business Practices section of the audit program.
- Verify that if transactions were not a result of an established program, that these were approved by management, or supported by documentation that was independently verified.
- It should be confirmed that although a credit may be issued to settle a claim, the approval of claims should be handled as a separate process from the approval of the credit note.
- Are billing transactions released only by authorized persons.
- Are all control reports accounted for, complete, and reviewed and approved by management as required.
- Determine if root-cause analyses are being performed and that corrective action plans are implemented and monitored.
- Are there controls to ensure that persons who create queries and pull control reports for billing do not have price-override or billing release capabilities.
- Determine if there is a management review and inspection process for billing control reports.
- Meet with management to understand the process for monitoring price overrides. Review the volume of price override activity for a period to be determined by the auditor. Select a sample as required with a focus on large deductions and prices reduced to zero. Determine if the price overrides / changes are properly controlled (authorized, accurate, monitored) and final price is consistent with approved price.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Billing

Secondary Test: Billing Measurements - SAP or Non-SAP (BI004.S)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if the effectiveness of the process is being measured and if management has visibility to the quality and timeliness of all phases of the billing process.

Approach:

Determine what billing measurements are used by management to assess the effectiveness of the process with regard to timeliness and accuracy.

Obtain local measurement reports for a period to be determined by the auditor. Local reports should include the following types of activities / transactions: billing quality, billing release timeliness, details of daily billing activity, installed- not- billed, shipped- not- billed, and pending billing.

Review attainment against objectives to identify trends. Validate performance attainment and examine negative trends.

If attainment is consistently sub-standard, select a sample of exception transactions and determine the root cause.

Ensure that there is management visibility to measurement attainment, and that the management process includes root cause analysis and action plans to rectify any out of line situation. Assess the effectiveness of action plans taken.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Measurements

Objective:

Determine if there was an effective management system in place to ensure that the area under review was operating at a known level of risk, and that actions were taken to minimize the risks and attain an acceptable level of control.

Risk/Exposure:

Failure to identify key measurements and controls and implement reviews and management reporting to confirm their effectiveness could lead to an unsatisfactory control position. Undetected errors, failure to meet business objectives, and contractual problems could expose IBM to financial loss.

Problem indicators for this area include - no key controls identified, no targets or measurements in place, lack of management information.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Measurements

Primary Test: Business Measurements - SAP or Non-SAP (ME001.P)

Note: For Backlog, Billing, and A/R Measurements, see the measurement tests in the individual scope areas. Because the Fulfillment process is evolving, this test is to address any other measurements in the process that are deemed to be key to the control of the process including customer satisfaction. This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine whether a management system is in place to define and monitor key business measurements and controls in accordance with the business objectives. This should include financial plans.

To determine whether ongoing management review took place and deviations were addressed with appropriate action plans.

To determine if there was a change management system in place to implement revised measurements and controls based on changes to business objectives.

To determine if management established and used the survey process to ascertain whether the services provided met user expectations and to gain insight into how these services might be improved.

Approach:

Understand the business objectives, and any critical controls required under which business is conducted. Review the management system in place to ensure that compliance testing and reporting takes place to monitor achievement against targets.

Review the customer satisfaction survey results where applicable to ensure that surveys were conducted as planned, results were analyzed, and appropriate action plans were established and implemented. Look for indicators of problems pointing to Q2C (e.g., customer dissatisfaction) in other aspects of performance but understand Q2C may not have visibility to this and the Brand should be addressing.

Request and review the results of the last customer satisfaction survey for any indication of repetitive issues of incorrect business practices. Also verify if any action has been put in place to avoid recurrence.

Test the following:

- Were the business objectives clearly defined?
- Were key measurements and controls which support the business objectives identified? These should include disbursement activity (claims, credit notes, the monitoring of discounts for marketing incentives, commissions). Targets for these subjects should be set, and reporting should be produced to track performance against targets.
- Was there a program of compliance testing in place for these key measurements and controls?
- Was there evidence of regular management review of measurements and controls?
- Were there action plans in place to address exceptions, and were these plans monitored until the exception was resolved? Were the owners of the action plans identified?
- Was there regular review of the subjects included in these key measurements and controls to assess the need for continued focus? There may have been changes to the business objectives or terms and conditions which alter or remove the requirement to test some subjects.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Business Practices

Objective:

Are business transactions with customers, business partners, and suppliers in accordance with IBM policies, practices, and business conduct guidelines?

Risk/Exposure:

The failure to follow correct marketing practices and to comply with business conduct guidelines could damage IBM's image, expose IBM to loss of assets, result in unfair treatment, and customer dissatisfaction.

Credits and adjustments are a sensitive phase of the billing process, and if not properly controlled, could impact compliance with IBM's management and business practice guidelines, create exposures to irregularities, impact processing efficiencies and cost, and negatively impact customer satisfaction.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Business Practices

Secondary Test: Credit Notes - SAP or Non-SAP (BP001.S)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To ensure that undue credits or special conditions were not granted to customers through the use of credit notes or write-offs, in violation of IBM business practices.

Approach:

Review credit notes related to the selected contracts / customers to ensure that:

- They are timely and correctly processed in compliance with established procedures.
- Credits are not a result of recurrent customer issues.
- No credit note or write-off was used to grant undue credits to customers, in violation of correct business practices.
- Also verify that sufficient provisions were taken to account for excessive credits or write-offs when they were known.

Data mining in this area should include:

Review number of claims, AR disputes, and credit notes for a customer, large value credits, excessive delays between original invoice and credit, credits issued in first month following a quarter-end, and credits for duplicate amounts. If reason codes are used for credits issued, select those classified as miscellaneous, unauthorized commitments, product failures, and other non-specific codes.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties

Objective:

Determine if business responsibilities are properly segregated and appropriate separation of duties exist so that no one individual has responsibilities that would allow them to circumvent the system of controls.

Ensure that changes, additions, or deletions to data is properly restricted and all activity is approved by management.

Risk/Exposure:

Separation of duties involves the assignment of responsibility for a transaction in a manner so that the duties of one employee automatically provide a cross-check on the work of one or more other employees. The primary purpose of separation of duties is the prevention and prompt detection of errors or irregularities in the performance of assigned responsibilities. Functions are considered to be incompatible from a control standpoint when it is possible for an individual to commit errors or irregularities in the normal course of his duties and to prevent their detection by the system. Individuals with incompatible job responsibilities and system access capabilities are an exposure to IBM.

Failure to monitor and control all capabilities to add, change, or delete billing data creates an exposure to loss and/or misappropriation.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties

Primary Test: Separation of Duties - Non-SAP Only (SD001.P)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if any individuals have incompatible responsibilities that would allow the system of internal controls to be circumvented.

To determine if appropriate separation of duties exist to ensure that capabilities to change, add, or delete data is strictly controlled. To ensure that usage of these capabilities is restricted and approved by management.

Approach:

- Request an organization chart listing the responsibilities of each employee to assist in determining if any separation of duties exposures exist.
- Review for critical processing transactions and access control listings to ensure proper separation of duties exist and access has been properly authorized.
- Ensure that controls exist to protect all systems from unauthorized access or use.
 - Review application system mnemonics to identify transaction conflicts (i.e., billing, accounts receivable, customer / number records, inventory, and accounting).
 - If conflicts have been identified or exist in either of the above, review secondary controls or risk acceptances as appropriate. In addition, if conflicts exist, the auditor must decide if transactions processed by the individuals with conflicts should be tested.
- Sample transactions from the billing reports and validate that billing was released by authorized personnel and approved by management.
- Review the most recent user validation report.
- Review the process for deleting employees / vendors system access profiles upon separation or transfer outside the organization. Validate that system access is removed timely upon employee / vendor separation or transfer.
- In the US request a transaction list from ASAR (AAS Security Authorization and Registration) of all employees with BILLIT, MISCBILL, CMCREATE, CMADRUPT, CCSMGRXX, or CCSADMXX processing capabilities to determine if any SOD exposures exist within the organization. Also obtain an ASAR Transaction Conflict report to determine that appropriate management has reviewed and corrected any areas of conflict. NOTE: A separate list of those who can process AEFORMs should be obtained and compared to the processing capabilities for other systems to see if there are conflicts.

Some common conflicts to test for:

Employees with Billing capability should not have:

- A/R processing responsibility
- Responsibility to adjust billing that they generate
- Access to customer number processing

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties

Primary Test: Separation of Duties - Non-SAP Only (SD001.P)

(Continued)

Employees with cash application capability should not have:

- Capability to process bank adjustments, create billing, issue credits, or change or create customer master records
- Responsibility to reconcile bank accounts
- Access to unendorsed checks
- Accounts Payable processing capabilities/responsibilities
- Access to inventories of blank checks or other invoice documents

Employees with A/R responsibility should not have:

- Billing or adjustment processing responsibilities
- Price override authority
- Cash application or cash adjustment capability

Employees with customer master record responsibility should not have:

- Price override
- Billing or A/R responsibilities
- Order entry / management authority

Employees who balance the daily cash receipt should not have the responsibility for recording the receipt and application of cash.

Employees who order cash receipt books or blank invoices should not have disbursement control responsibility.

If approved risk acceptances are in place to address SOD issues, ensure that the secondary controls are adequate and executed.

QUOTE TO CASH

AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties

Primary Test: Separation of Duties - SAP Hardware and Software (SD002.P)

Note: This test should also be used for reviews of Business Partner transactions during a fulfillment audit.

Objective:

To determine if any individuals have incompatible responsibilities that would allow the system of internal controls to be circumvented.

To determine if appropriate separation of duties exist to ensure that capabilities to change, add, or delete data is strictly controlled. To ensure that usage of these capabilities is restricted and approved by management.

Approach:

Review the process to ensure that controls exist to protect all systems from unauthorized access or use.

- Because of the complexity of security and access profiles within SAP, the auditor should refer to the following:
 - SAP Profile Review Guide
 - SAP / SOD assessments from the CIO home page on the Intranet
- In SAP environments, end-users can also be performing related or other job responsibilities in legacy systems. In determining if duties are adequately separated, consideration should be given to access in SAP and legacy systems along with overall job assignments.

Some common conflicts to test for:

- Employees who have the responsibility to generate control reports should not have assignments where data they process are included in the reports they generate.
- Employees with Billing capability should not have:
 - A/R processing responsibility
 - Possibility of adjusting billing that they generate without proper approvals
 - Access to customer master record processing
- Employees with A/R responsibility should not have:
 - Billing or adjustment processing responsibilities
 - Price override authority
 - Cash application or cash adjustment capability
- Employees with customer master record responsibility should not have:
 - Price override
 - Billing or A/R responsibilities
 - Order entry / management authority

Employees who balance the daily cash receipt should not have the responsibility for recording the receipt and application of cash.

Employees who order cash receipt books or blank invoices should not have disbursement control responsibility.

If approved risk acceptances are in place to address SOD issues, ensure that the secondary controls are adequate and executed.

QUOTE TO CASH AUDIT PROGRAM #52-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Risk/Exposure:

Any material disruption of business operations due to natural or man-made disasters can lead to significant financial loss not only IBM but potentially also for IBM's customers. Many business processes have been centralized, and often operations are conducted in locations which may be susceptible to business disruption. As a result, it is important that business and process owners have developed plans to maintain continuity of business operations in those centralized operations.

QUOTE TO CASH

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Secondary Test: Business Continuity Planning (BC001.S)

Note: Business continuity risks become increasingly important in the environment where there are centers of excellence and multiple countries are supported by one center. This should therefore be an important test and considered primary in that environment. IT testing for disaster recovery is handled by the IT audit teams.

You should refer to Area Business Continuity Planning in the reference section of this audit program, in support of your review.

Objective:

To determine if process owners have developed, reviewed, and tested business continuity plans (BCP) so that in the event of natural or man-made disasters, pre-defined plans can be executed to maintain business operations.

Approach:

A guideline has been put in place for process owners providing guidance on business continuity planning (BCP). It should be noted by the audit team that this is a guideline rather than a specific instruction. However, it will act as a guide for you to understand whether key risks have adequately been considered for BCP and enable you to make an informed judgement regarding the risk mitigation in place. Different processes will have their own unique risk profiles regarding the probability and impact of an interruption to business operations. For example, the probability and impact of a business interruption for a process which has been centralized for multiple countries in a location with less-developed infrastructure is likely greater than that of a process supporting only a single country in location with robust infrastructure. As such, auditor judgment will be required to determine how important BCP is for a particular process, as well as to determine the reasonableness of any plans that have been designed by the process owners.

In the initial data request information ask for the process owner to confirm what plans have been implemented to ensure business continuity in the event of a natural or man-made disaster. Review that non-I/T process elements have been adequately considered in the BCP.

The following list of questions has been designed based on the BPBC127 Guideline for Business Process - Area Business Continuity Planning.

1. Has management assessed the risk to business continuity (BC) and identified the key business processes and activities that require formal business continuity planning based on impact to the business.
 - Identification and prioritization of business processes' activities in addition to prioritization done through by the Enterprise Process Owner (level 3 plans)
 - Understanding and documentation of the potential impact (financial, operational and reputation) to IBM from business disruptions from uncontrolled, non-specific events
 - Identification of the legal and regulatory requirements for the institution's business functions and processes
 - Review and approval from senior management

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Secondary Test: Business Continuity Planning (BC001.S)

(Continued)

2. For critical business areas and processes, has the maximum acceptable outage (MAO) been established and considered in the BC plan?
 - Estimation of maximum allowable outage (MAO), based on the “acceptable level” of losses, associated with the institution’s business functions and processes
 - Estimation of recovery time objectives (RTOs), recovery point objectives (RPOs), and Maximum Tolerable Downtime (MTD) of applications and supporting technology required for business operations
 - If applicable, recommended critical path recovery order
 - Reconciled with agreed IT recovery priorities (Business Criticality Values, RTO/MTD)
3. For business areas and processes where there is a business continuity risk, has the BC Plan been created, reviewed, and approved by management?
 - The organization shall establish documented procedures for responding to a disruptive incident and how it will continue or recover its activities within a predetermined timeframe.
 - Top management shall review the organization’s BCMS, at planned intervals, to ensure its continuing suitability, adequacy and effectiveness.
4. Does the Plan document the specific continuity and recovery actions for all four impact scenarios (workforce, workplace, IT, and regional) that will need to take place to mitigate risk to the business if the impact lasts longer than the documented business’ maximum acceptable outage?
 - Flexible to respond to unanticipated threat scenarios and changing internal conditions;
 - Focused on the impact of various threats that could potentially disrupt operations rather than on specific events;
 - Effective in minimizing service disruptions and financial loss through the implementation of mitigation strategies.
5. Does the BC plan clearly identify dependencies such as site resources, IT, suppliers, process interdependencies, partners, non-IT services and been reviewed and synchronized with the appropriate crisis management team?
 - An effective BCP coordinates across its many components, identifies potential process or system dependencies, and mitigates the risks from interdependencies.
6. Is there an established, management-endorsed business continuity team to oversee the maintenance, invocation, and execution of the BC plan?
 - Defined roles and responsibilities for people and teams having authority throughout an incident
 - Additional teams as necessary to facilitate recovery execution per the chosen strategy
7. Are personnel aware and educated on the plan, strategy and roles?
 - Business continuity training should be an integral part of the BCM
 - Comprehensive training program should be developed for all employees, conducted at least annually, and kept up to date to ensure that everyone understands their current role in the overall recovery process.
 - An audit trail should be maintained to document management's training efforts.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Business Continuity Planning

Secondary Test: Business Continuity Planning (BC001.S)

(Continued)

8. Is there a regularly executed process for validating the Plan through tests including key elements such as people, technology (data, systems, applications, and telecommunications), and locations that house staff and technology to ensure fit for purpose and alignment with current risks?
- Tests should be based on appropriate scenarios that are well planned with clearly defined aims and objectives that promote continual improvement
 - Produce formalized post-exercise reports that contain outcomes, recommendations and actions to implement improvements and are reviewed with management
 - Tests are conducted at planned intervals and when there are significant changes within the organization or to the environment in which it operates.